

Project Horizon

Infosys Limited / Persistent Systems Limited · prepared 2026-07-05

DECLINE

Only 0% probability of Year-2 accretion — earnings risk outweighs strategic merit at this price.

-24.4%

YEAR-1 EPS IMPACT

0%

P(ACCRETIVE BY Y2)

₹-10,674 Cr

NET VALUE CREATED

+18.0%

OFFER PREMIUM

2 · Transaction Summary

Term	Value	Term	Value
Acquirer	Infosys Limited (INFY.NS)	Offer price	₹5,525.59
Target	Persistent Systems Limited (PERSISTENT.NS)	Premium to undisturbed	+18.0%
Negotiated stake	100%	Consideration	40% cash / 60% stock
Equity purchase (negotiated)	₹86,327 Cr	Implied EV / EBITDA	32.4x
Open offer (at 100% acceptance)	₹22,445 Cr	Implied P / E	46.3x

Premium at the 100th percentile of sector precedents (Merger Lab precedent DB; entries marked ILLUSTRATIVE pending filing verification).

2a · Sector precedents (2 most recent; ✓ = verified against SEBI/filing sources)

Announced	Acquirer → Target	Deal (₹ Cr)	Premium	Type	Provenance
2023-07-17	Proximus Opal → Route Mobile	₹5,922 Cr	n/a	cash	✓ verified
2019-06-18	Larsen & Toubro → Mindtree	₹10,733 Cr	+1.8%	cash	✓ verified

Verified rows link to the SEBI letter of offer or exchange filing; premiums shown only where the open-offer price vs pre-announcement close is public. Blank premiums/multiples are honestly withheld, not estimated.

2b • Standalone Valuation — intrinsic vs the offer

Valuation range (₹/share)



Where the target trades on its own economics — independent of the deal. The offer (red) sits against a DCF intrinsic range and listed-peer trading comps; gold tick = central estimate. Accretion is relative; this is the absolute check.

Discounted cash flow (unlevered FCFF)

Two-stage FCFF DCF values Persistent Systems Limited at Rs 1,471/share (equity Rs 22,977 Cr), a range of Rs 1,268-1,766 across WACC 11-13%. 71% of value sits in the terminal year; -69% vs the Rs 4,683 market price.

Enterprise value	Equity value	Value / share	vs market	Terminal weight
₹21,426 Cr	₹22,977 Cr	₹1,471	-69%	71%

Assumptions: WACC 12.0%, revenue growth 8.0%, terminal growth 4.0%, EBITDA margin 17.7%, over 5 explicit years. Tunable drivers, not fitted.

Trading comps (listed peers)

Peer trading comps (n=5) imply Rs 2,026/share for Persistent Systems Limited (range Rs 1,894-2,121) at median EV/EBITDA 10.7x, P/E 17.0x.

	Peer	EV/EBITDA	EV/Sales	P/E
Tata Consultancy Services Limited		10.3x	2.7x	15.4x
Wipro Limited		8.2x	1.5x	13.2x
HCL Technologies Limited		11.1x	2.2x	18.6x
Tech Mahindra Limited		14.0x	2.1x	26.0x
LTIM.NS		n/ax	n/ax	n/ax
Median		10.7x	2.1x	17.0x

3 • Strategic Rationale

- Adds a high-growth digital-engineering franchise to a scaled services platform
- Client roster complementarity: BFSI depth meets ISV/hi-tech engineering
- Illustrative synergies at ~2.5% of target revenue (cross-sell + pyramid costs)

4 • Regulatory Stack — RBI • SEBI SAST • CCI

4a • Sources & Uses across open-offer acceptance scenarios

₹ Cr	0% acceptance	50% acceptance	100% acceptance
Equity purchase (negotiated)	₹86,327 Cr	₹86,327 Cr	₹86,327 Cr
Open offer consideration	₹0 Cr	₹11,222 Cr	₹22,445 Cr
Refinance target debt	₹0 Cr	₹0 Cr	₹0 Cr
Transaction fees	₹1,295 Cr	₹1,463 Cr	₹1,632 Cr
Total uses	₹87,622 Cr	₹99,013 Cr	₹1,10,403 Cr
New acquirer stock	₹51,796 Cr	₹51,796 Cr	₹51,796 Cr
New bank debt	₹17,913 Cr	₹23,608 Cr	₹29,304 Cr
Balance-sheet cash	₹17,913 Cr	₹23,608 Cr	₹29,304 Cr
Total sources	₹87,622 Cr	₹99,013 Cr	₹1,10,403 Cr

4b • RBI acquisition-finance compliance (Amendment Directions 2026, at 100% acceptance)

Check	Value	Threshold	Status	Note
Bank debt <= 75% of acquisition value	26.9	<= 75%	PASS	New bank debt Rs 29,304 Cr funds 26.9% of the Rs 108,772 Cr acquisition value.
Acquirer equity contribution >= 25%	73.5	>= 25%	PASS	Stock + own cash contribute 73.5% of total funding of Rs 110,403 Cr.
Pro-forma consolidated D/E <= 3.0x	0.0	<= 3.0x	PASS	Combined debt Rs 38,704 Cr on pro-forma equity Rs 8,606,363 Cr = 0.00x.
Acquirer net worth >= Rs 500 Cr	8554567.0	>= Rs 500 Cr	PASS	Acquirer net worth Rs 8,554,567 Cr.
3-year profitability track record	True	user-attested	PASS	Attested by user; verify against 3 years of audited financials.

Optimal mix is constrained: binding constraint(s) — Acquirer cash on hand. Year-1 accretion at the constrained optimum is -23.48%. Optimal mix: 12% cash / 88% stock, 0% of cash needs debt-funded → Year-1 -23.5%.

4c • SEBI Takeover Code (SAST 2011)

Acquiring 100% crosses the 25% threshold -> mandatory open offer for 26% of the target at the floor price (modeled at the Rs 5,526 offer price; real floor is the highest-of tests incl. 60-day VWAP).

- 0% acceptance: buy 0.00 Cr shares for Rs 0 Cr; post-offer holding 100.0%. BREACHES 75% MPS — must sell down within 12 months or pursue delisting (requires 90%).
- 50% acceptance: buy 2.03 Cr shares for Rs 11,222 Cr; post-offer holding 100.0%. BREACHES 75% MPS — must sell down within 12 months or pursue delisting (requires 90%).
- 100% acceptance: buy 4.06 Cr shares for Rs 22,445 Cr; post-offer holding 100.0%. BREACHES 75% MPS — must sell down within 12 months or pursue delisting (requires 90%).

4d • CCI merger control

Deal value Rs 86,327 Cr exceeds the Rs 2,000 Cr deal-value threshold (2024 amendment) — CCI approval required; expect ~150-210 days outer timeline, Green Channel possible if no overlaps.

5 • Accretion / Dilution Analysis

Year	Combined NI (₹ Cr)	Pro-forma shares (Cr)	Pro-forma EPS	Standalone EPS	Accretion / (Dilution)
Year 1	₹25,950 Cr	454.35	₹57.11	₹75.50	-24.35%
Year 2	₹26,175 Cr	454.35	₹57.61	₹75.50	-23.70%
Year 3	₹26,250 Cr	454.35	₹57.77	₹75.50	-23.48%

Break-even synergies (Year 1): ₹22,727 Cr vs ₹400 Cr assumed run-rate.

Target earnings yield at offer 1.7% vs blended after-tax financing cost 6.3% -> heuristic says DILUTIVE; engine Year-1 says DILUTIVE.

Contribution analysis

Metric	Acquirer %	Target %
Revenue	92.7	7.3
EBITDA	94.0	6.0
Net income	94.2	5.8
Pro-forma ownership	89.1	10.9

Sensitivity — Year-1 accretion %

Premium (rows) × run-rate synergies ₹ Cr (columns)

Premium % \ Synergies Cr	0.0	100.0	200.0	300.0	400.0	500.0	600.0	700.0	800.0
8.0	-17.10	-16.99	-16.88	-16.77	-16.66	-16.55	-16.44	-16.33	-16.22
10.5	-17.59	-17.48	-17.37	-17.26	-17.15	-17.04	-16.93	-16.82	-16.71
13.0	-18.08	-17.97	-17.86	-17.75	-17.64	-17.53	-17.42	-17.31	-17.20
15.5	-18.56	-18.45	-18.34	-18.23	-18.12	-18.01	-17.90	-17.80	-17.69
18.0	-19.04	-18.93	-18.82	-18.72	-18.61	-18.50	-18.39	-18.28	-18.17
20.5	-19.52	-19.41	-19.31	-19.20	-19.09	-18.98	-18.87	-18.76	-18.65
23.0	-20.00	-19.89	-19.78	-19.68	-19.57	-19.46	-19.35	-19.24	-19.13
25.5	-20.48	-20.37	-20.26	-20.15	-20.04	-19.94	-19.83	-19.72	-19.61
28.0	-20.95	-20.84	-20.73	-20.63	-20.52	-20.41	-20.30	-20.19	-20.09

% cash consideration (rows) × premium (columns)

% Cash \ Premium %	8.0	10.5	13.0	15.5	18.0	20.5	23.0	25.5	28.0
0	-17.17	-17.64	-18.10	-18.56	-19.02	-19.48	-19.93	-20.38	-20.82
10	-17.05	-17.52	-17.99	-18.46	-18.92	-19.39	-19.84	-20.30	-20.75
20	-16.92	-17.40	-17.88	-18.35	-18.82	-19.29	-19.75	-20.22	-20.68
30	-16.79	-17.28	-17.76	-18.24	-18.72	-19.19	-19.66	-20.13	-20.60
40	-16.66	-17.15	-17.64	-18.12	-18.61	-19.09	-19.57	-20.04	-20.52
50	-16.52	-17.02	-17.51	-18.00	-18.49	-18.98	-19.47	-19.95	-20.43
60	-16.38	-16.88	-17.38	-17.88	-18.38	-18.87	-19.36	-19.86	-20.35
70	-16.23	-16.74	-17.24	-17.75	-18.25	-18.76	-19.26	-19.76	-20.26
80	-16.08	-16.59	-17.10	-17.62	-18.13	-18.64	-19.14	-19.65	-20.16
90	-15.92	-16.44	-16.96	-17.48	-17.99	-18.51	-19.03	-19.54	-20.06
100	-15.75	-16.28	-16.81	-17.33	-17.86	-18.38	-18.91	-19.43	-19.96

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5.5 · Value Creation Assessment

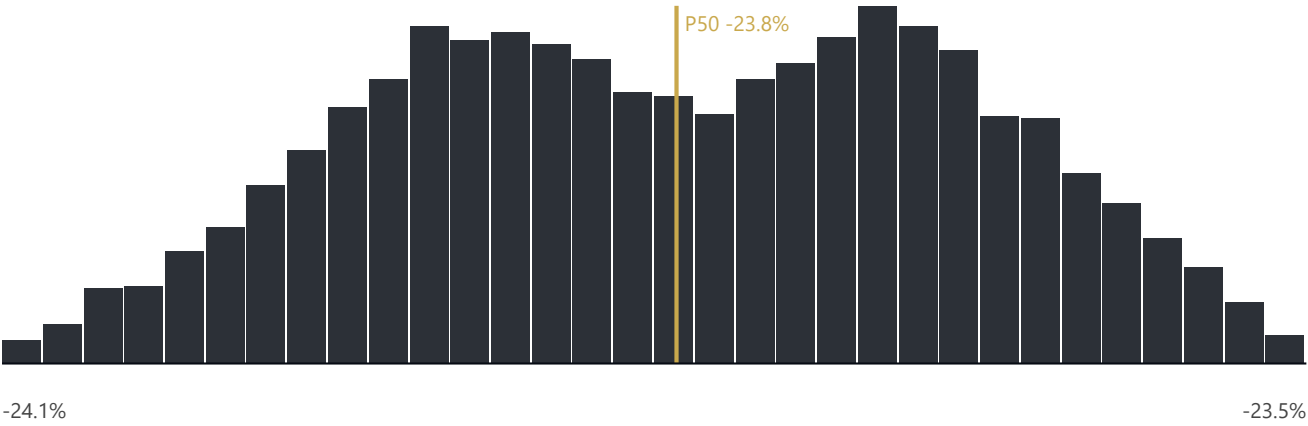
Bridge component	₹ Cr
PV of after-tax synergies (perpetuity at 12.0% WACC)	₹2,494 Cr
Control premium paid	(₹13,169 Cr)
Net value created / (destroyed)	₹-10,674 Cr

Incremental ROIC 2.0% vs WACC 12.0% — **returns below the cost of capital.**

6 · Risk Analysis

Probability of accretion by Year 2: 0% (P5: -24.0%, P95: -23.6%). Year-1: P5 -24.9% · P50 -24.4% · P95 -24.2%.

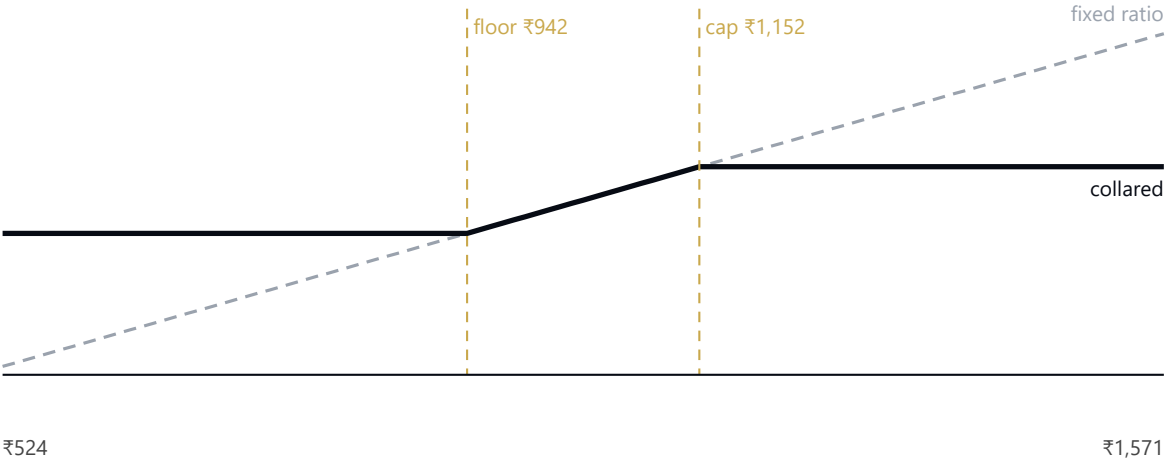
Year-2 accretion distribution (10,000 iterations)



Exchange-ratio collar (stock component)

Target shareholders receive 3.1659 acquirer shares per target share, collared between Rs 942 and Rs 1,152. They are long a put at the floor (worth Rs 28.41/acquirer share) and short a call at the cap (worth Rs 58.23), a net cost of Rs 94.43 per target share at 29% vol over 6 months. The floor guarantees at least Rs 2,983.82 of value per target share if the acquirer's stock falls; in exchange, upside beyond Rs 3,646.89 is surrendered to the acquirer. The acquirer bears the cost of the downside protection as potential extra dilution when its stock trades below the floor at close.

Value per target share at close (₹)



Key risks

- Attrition of key engineering talent post-close
- Revenue dis-synergies from client overlap audits
- Stock consideration exposes target holders to acquirer multiple compression

7 • Appendix — Methodology & Sources

- Engine: Year 1–3 pro-forma EPS vs standalone acquirer EPS held flat; combined NI = acquirer NI + owned% × target NI + after-tax phased synergies – after-tax new interest – after-tax foregone cash yield – after-tax incremental D&A – after-tax Year-1 integration costs.
- PPA: intangible write-up on excess over owned book value, DTL at deal tax rate, straight-line amortization; PP&E step-up out of scope.
- RBI: Commercial Banks – Credit Facilities (Amendment) Directions 2026 — 75% funding cap, 25% equity floor, 3:1 consolidated D/E, ₹500 Cr net worth, 3-yr profitability (user-attested). Verify against the master direction.
- SEBI SAST 2011: 25% open-offer trigger, minimum 26% offer size; floor modeled at deal offer price (real floor = highest-of tests incl. 60-day VWAP). MPS per SCRR 19A.
- Monte Carlo: 10,000 seeded iterations; synergies triangular (50/100/130% of base), integration costs lognormal, phase-in delay discrete.
- Value bridge: after-tax synergy perpetuity at user WACC (0% growth) less control premium on shares acquired.
- Data: yfinance (prices, financials), Screener.in exports (fundamentals fallback), curated precedent DB from SEBI SAST letters of offer and NSE/BSE filings. Debt cost anchored to RBI DBIE lending-rate publications; risk-free = 10Y G-Sec (CCIL/FIMMDA). No paid APIs, no scraping, no LLM calls.
- **Disclaimer:** Illustrative analysis on public data for portfolio demonstration. Precedent entries marked ILLUSTRATIVE are unverified. Not investment advice, not a solicitation, not a fairness opinion.